



VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Market Overview:

This week, market volatility eased, as reflected by a lower VIX index, though sentiment decreased midweek amid U.S.-China commercial tensions.

Overall, the **S&P 500 gained +1.75%**, while the **Dow Jones Industrial Average rose 2%**.

A key highlight was the renewed U.S. interest in quantum computing firms, which sent their stocks higher after a challenging performance the previous week.



Yahoo finance, VIX Index, October 24, 2025



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Article 1: Canada's Finance Minister Says Budget Will 'Crowd In' Private Investment

Author, Source & Date Published: Erik Hertzberg, October 22, 2025

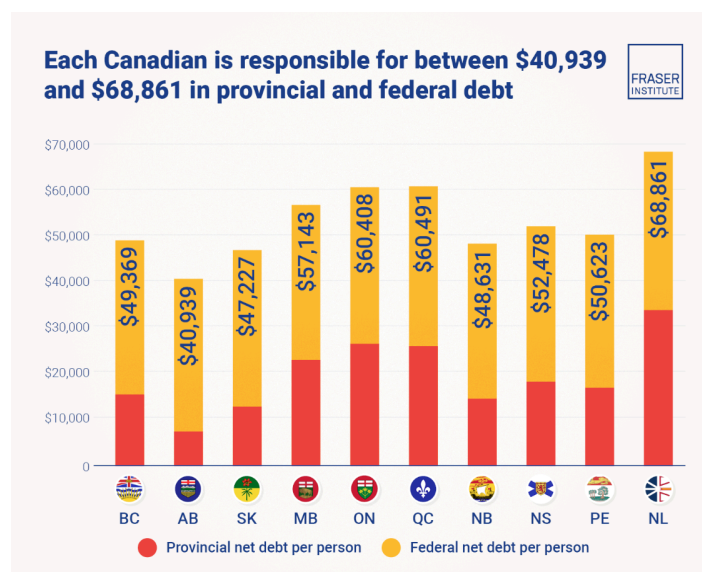
Link: [Bloomberg Article](#)

Summary:

The Liberal Party is set to present its new budget on November 4th, arguing that increased spending will deliver long-term prosperity.

Key Takeaways:

- Analysts project the fiscal deficit to reach about 3% of Canada's GDP, a figure that is already unsettling more Hawkish investors¹.



Source: [Fraser Institute](#) Canada's combined federal-provincial government debt estimated to reach \$2.3 trillion in 2025/26, as of July 24, 2025.

- It's true that Canada's debt has risen sharply in recent years. However, compared to other G7 economies, Canada still retains some fiscal room to sustain moderate deficits without immediately triggering a debt crisis.
- Still, increasing government borrowing raises the demand for loanable funds, which tends to push interest rates upward, making it more expensive for firms to finance new investments.

¹ Hawkish Investors:



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Educational Angle:

Students should understand that under the IS-LM framework, the government's "crowding in" narrative appears somewhat inconsistent.

Here's the logical thought process:

- **Higher government spending ($\uparrow G$) shifts** the IS curve right, increasing total output (Y) and aggregate demand.
- This expansion raises money demand, which **pushes the interest rate (r) upward**.
- Higher interest rates discourage private investment (I) by **raising borrowing costs**.
- Unless the Bank of Canada loosens monetary policy (shifting the LM curve right), **the result is partial crowding out of private investment**.

Given that Canada's inflation rate sits at 2.4%, which is above the BoC's 2% target. The BOC has a very challenging mandate, **supporting growth through monetary accommodation while keeping inflation low and stable**.

In this context, the government's claim that fiscal expansion will "crowd in" private investment faces a tough test in the real economy. The Liberal government is responding to a persistent under-investment trend that has weighed on Canada's productivity and growth in recent years, **yet whether fiscal stimulus alone can reverse this structural weakness remains uncertain**.



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Excel Tips:

What is a pivot table?

A Pivot Table is one of Excel's most powerful tools for quickly summarizing, analyzing, and identifying patterns in your data.

How to use them?

1. Select your data (include headers in your table)
2. Insert the pivot table
3. Drag your fields to the different four sections in the pivot table (Rows, Columns, Values, Filters). This will allow you to reorganize your data in a specific way.
4. Use filters!

Faculty	Arts	-Y
Row Labels	Max of Class Average	
Emrul	76	
ECON325	73	
Econ356	76	
Marina	69	
ECO102	69	
Mauricio	71	
ECON101	71	
Grand Total	76	

Faculty

Search

(Select All)

☒ Arts

☐ Science

Clear Filter

5. I highly recommend you make a personalized table and apply all of this. So you can start feeling comfortable with it!

Subject	Grade	Class Average	SD	Faculty	Professor
ECON101	95	71	1.1	Arts	Mauricio
ECO102	93	69	4.2	Arts	Marina
ECON325	90	73	1.2	Arts	Emrul
MATH100	78	63	2	Science	N/A
MATH101	69	68	14	Science	N/A

Remember: Excel is a hands-on skill, you learn it by doing!



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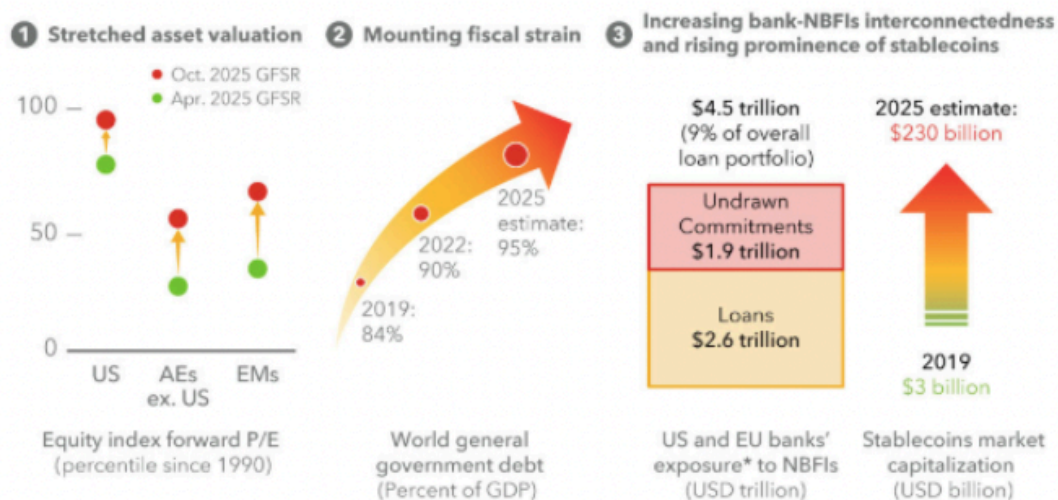
Article 2: Global Financial Stability Report: Shifting Ground Beneath the Calm:
International Monetary Fund, October 20th, 2025
Link: [Global Financial Stability Report](#)

Summary

Stretched market valuations combined with geopolitical tension, Non-Bank Financial Institution (NBFI)² participation and uncertainty pose elevated risk to the global financial market.

Key Takeaways

- More and more models are signalling that asset valuations are stretched. That is, many assets are priced way above what fundamentals such as growth and earnings would warrant. **Market corrections are underway and with sudden decline in asset prices, a lot of wealth could be wiped out.** Gita Gopinath from the Economist estimates the crash's damage to be as much as 35 trillion dollars!



- Government debt, especially in the western world, is at an all time high. **Gross public debt in advanced economies is 110% of GDP and continues to rise in emerging economies.** When public debt becomes such a crucial driver of

² What is an NBFI? It could be investment funds, insurance corporations, pension funds and a plethora of other classes of finance companies. They dabble in credit markets, but they do not take deposits which exempts them from banking regulations.



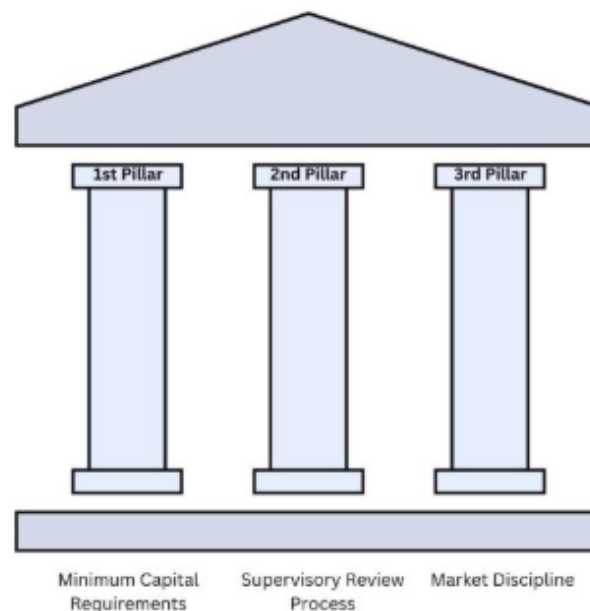
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economic growth, risks and vulnerabilities are amplified. In a time of increased protectionism and trade uncertainty, shocks can be extra-devastating; they can wipe out the lenders, leaving the borrowers high and dry.

- NBFIs are crucial in facilitating a healthy financial environment and providing further credit availability to businesses. But **they are not governed by the same risk management frameworks that regulate the banking system (Basel III, for instance)**. Their relatively higher risk appetite means much of their funds may be allocated across portfolios that are far more vulnerable to shocks. When NBFIs participate in markets at an increasing rate, they bring their risk baggage with them, making financial markets ever more vulnerable to shocks.

Educational Angle

What is Basel III?



International banking regulation is not a recent development. The Basel Committee on Banking Supervision (BCBS) was founded in 1974 with central banks from 10 countries who came together with the sole objective of reducing banks' vulnerabilities to financial crises through regulation. Their accords known as Basel I and II were set in place in 1988.



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Fast-forward to 2008, when a devastating crash gives way to a recession. There is really one test for how well regulation is performing and in this case, Basel I and II did not pass. So central banks reconvened; with 18 more members and a new set of regulations that wanted to implement the costly lessons learned in 2008. **Basel III increased the minimum capital requirement for banks and made some fundamental changes to the way banks perceive and calculate their operational and market risks.** Basel III is far from a miraculous solution; it has been critiqued for limiting credit availability and increasing borrower risk as banks have to scale back their lending to meet capital and risk requirements. Will it prevent an 08-esque crisis? Maybe, with the current state of financial markets, it will certainly be put to test.

Do you see the connection?

Even if Basel III is somehow perceived to be the most comprehensive regulatory mandate humankind has come up with since the Code of Hammurabi (it's not, just google Basel III critique), it **only governs banks**. It is then not surprising that a high rate of NBFIs participation in financial markets is cause for concern. Their credit and operational risks are **not regulated to make them resilient, they're designed to make them profitable**. So when the winds of financial stability stop pushing the sails forward, they don't just float in place, they sink. As financial landscapes shift, regulators need to pay closer attention to building resilience in NBFIs and everyone who has a stake in the game ; namely, you and I.

You stand to lose, do something about it (Career spotlight)

The regulations that govern banks, or the ones that should be there to govern NBFIs, don't just come out of thin air. Economists, statisticians and research analysts work to understand markets and the best course of action to hedge against their potential risks. The BCBS, for instance, is housed within the Bank for International Settlements(BIS). So,

- If you have a knack for regulation and a deep understanding of banking,
- If you value international regulation and want to play a role in the institutions that facilitate it,

then you should browse BIS's opportunities for early-career economists here:
https://www.bis.org/careers/graduate_programme.htm